India SME IPO Readiness Research - Status Report

Built 04 November 2026. Independent financial research; no media-sales analysis.

1. Executive summary

Where we are. The analytical engine is built and tested: data model, NSE Emerge / BSE SME eligibility engine, three-score model (readiness, intent, data confidence), backtest harness, workbooks and dashboard. Reference layers (MSME definitions, entity IPO routes, platform rules) and Tracxn aggregate IPO activity are populated.

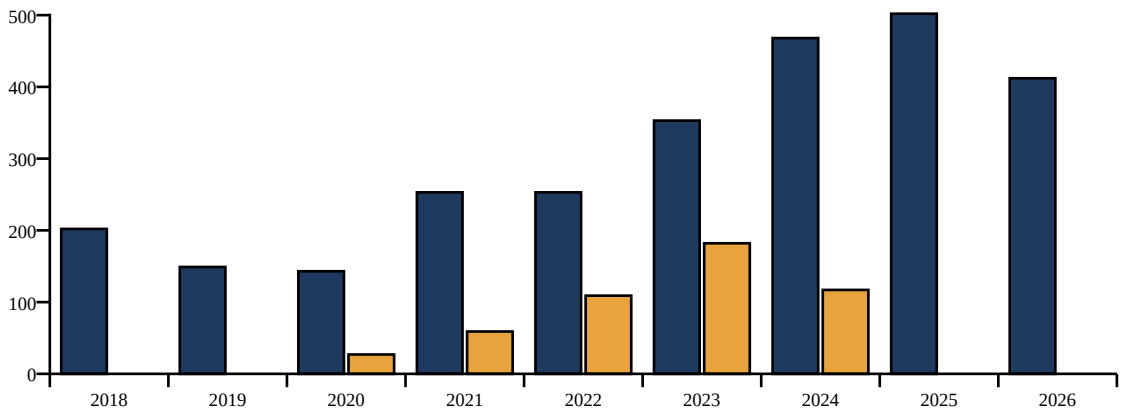
What is not done. No company has been scored or ranked yet. Company-level data requires Tracxn record pulls (stages 2-4), which are on hold for your approval because the connector consumes credits and only 714 of 10,000 remain this month. No company names, financials or rankings have been estimated to fill the gap.

Access. Your logged-in Chrome session is not reachable: this research runs in a cloud container, not on your computer. The official Tracxn connector is connected and works. Official NSE, BSE, SEBI and MSME websites are blocked by the container's network policy, so every regulatory rule here comes from secondary sources and is flagged for primary verification.

2. IPO activity in India, 2018 to 2026 (Tracxn)

Tracxn counts 2738 IPO listing events on Indian exchanges since 1 January 2018 (NSE 1505, BSE 1230). **These are not SME counts.** Tracxn's exchange field does not separate SME platforms from the mainboard, and a dual-listed IPO is counted once per exchange. The external SME-only series (Chittorgarh, secondary) is much lower, which confirms the mix.

Navy: Tracxn NSE+BSE listing events (all boards). Amber: external SME-only IPO count (0 = not retrieved)



Year	Tracxn NSE	Tracxn BSE	NSE+BSE	Ext. SME IPOs	Ext. SME Rs cr	Note
2018	74	128	202	n/a	n/a	no external SME count retrieved
2019	63	86	149	n/a	n/a	no external SME count retrieved
2020	77	66	143	27	168	
2021	163	90	253	59	787	
2022	161	92	253	109	1980	
2023	232	121	353	182	4967	
2024	313	155	468	117	3864	external: Source marks year as partial
2025	243	259	502	n/a	n/a	no external SME count retrieved
2026	179	233	412	n/a	n/a	YTD to 04-Nov-2026; no external SME count retrieved

Directional reading (verify): on the external series, SME IPO activity grew strongly from 2020 to 2023. An RBI Bulletin article reports SME IPO listings in 2024-25 were 87.2% above 2022-23 (secondary summary; not checked against the RBI text).

3. MSME definitions

Regime	Category	Investment max (Rs cr)	Turnover max (Rs cr)
Notification S.O. 2119(E), 26-Jun-2020	Micro	1	5
Notification S.O. 2119(E), 26-Jun-2020	Small	10	50
Notification S.O. 2119(E), 26-Jun-2020	Medium	50	250
Notification S.O. 1364(E), 21-Mar-2025	Micro	2.5	10
Notification S.O. 1364(E), 21-Mar-2025	Small	25	100
Notification S.O. 1364(E), 21-Mar-2025	Medium	125	500

Classification needs BOTH the investment and the turnover test. Turnover alone cannot establish MSME status. Where plant/machinery investment is unknown, this project marks MSME classification as 'Unverified'. Official status comes only from Udyam registration. Verification: secondary sources (S04, S05); confirm against the Gazette notification.

4. Eligibility rules implemented

NSE Emerge

ID	Rule	Verification
LEGAL-PUB	Issuer must be a public limited company incorporated under the Companies Act when filing.	Company law; confirm with counsel
NSE-TR	Operational track record of at least 3 years.	Secondary source (S01 summary); confirm on NSE criteria page
SEBI-OP	Operating profit (EBITDA) of at least INR 1 crore in at least 2 of the 3 financial years preceding the DRHP (SEBI ICDR amendment, 2025).	Secondary sources (S06, S07, S08); EBITDA wording unconfirmed in one source
NSE-NW	Positive net worth.	Secondary source; confirm on NSE criteria page
NSE-FCFE	Positive free cash flow to equity (FCFE) in at least 2 of the 3 years before applying.	Secondary source; confirm on NSE criteria page and circular CML65739
SEBI-PUC	Post-issue paid-up capital (face value) not more than INR 25 crore for the SME route.	Secondary source (S09); confirm current ICDR Reg. 229

BSE SME

ID	Rule	Verification
LEGAL-PUB	Issuer must be a public limited company incorporated under the Companies Act when filing.	Company law; confirm with counsel
BSE-TR	Track record of at least 3 years (reported by one secondary source only).	UNCONFIRMED; single secondary source (S10)
SEBI-OP	Operating profit (EBITDA) of at least INR 1 crore in at least 2 of the 3 financial years preceding the DRHP (SEBI ICDR amendment, 2025).	Secondary sources (S06, S07, S08); EBITDA wording unconfirmed in one source
BSE-NW	Net worth of at least INR 1 crore in each of the 2 preceding full financial years.	Secondary sources conflict; confirm on BSE SME site
BSE-NTA	Net tangible assets of at least INR 3 crore in the latest year (some sources say 1.5 crore).	CONFLICTING secondary sources; confirm on BSE SME site
SEBI-PUC	Post-issue paid-up capital (face value) not more than INR 25 crore for the SME route.	Secondary source (S09); confirm current ICDR Reg. 229

Issue-structure rules (apply to the offer):

ID	Rule	Verification
SEBI-OFS	Offer for sale capped at 20% of the issue size; no selling shareholder may sell more than 50% of their holding.	Secondary sources (S07, S08)
SEBI-GCP	General corporate purposes capped at the lower of 15% of the issue or INR 10 crore.	Secondary source (S08); confirm against Gazette
SEBI-LOCKIN	Promoter holding above the minimum promoter contribution: lock-in released in phases (exact schedule not confirmed).	Secondary source; schedule unconfirmed

Classification: 1 Appears to meet measurable requirements; 2 Potentially eligible, further verification required (for example, a private limited company that must convert); 3 Fails one or more measurable requirements; 4 Insufficient information. Only financial years closed before the assessment date are used.

5. Scoring methodology

Readiness component	Weight
Revenue Growth	20

Readiness component	Weight
Profitability	20
Financial Strength	15
Cash Flow Quality	15
Operating History	10
Expansion	10
Governance	10

Intent (0-100) adds points for evidence, weighting direct disclosures (DRHP filing 45, exchange in-principle approval 45, board approval 20, merchant banker 15, announcement 15) far above indirect signals (conversion to public limited 10, pre-IPO placement 10, funding round 5). Any direct signal places a company on List A. Data Confidence (0-100) scores audit status, years of history, source credibility, recency, entity-match quality and independent verification. **Scores are screening indices, not probabilities.**

6. Backtesting

Designed and implemented, not yet run. Snapshots at end-2020, end-2021 and end-2022 use only financial years closed by then, then check SME listings in the next three years against companies that stayed private (precision@50, lift, AUC, false-positive review). Until the historical cohort and a non-IPO comparison pool are loaded, the model is a research-screening tool, not a validated predictor. The 2025 EBITDA test also means earlier issuers faced looser rules, which biases any backtest.

7. Decisions needed and next steps

Stage	What it unlocks
Stage 2	Tracxn IPO Transactions record-level pull (India, 2018-2026, NSE/BSE): ~2,700 listing events; needed for company-level SME IPO database. Awaiting approval (credit cost per record unknown).
Stage 3	Tracxn Legal Entities + time series for historical IPO companies (CIN, incorporation, 3-5 FY financials). Awaiting approval.
Stage 4	Tracxn Legal Entities screen of unlisted companies. Awaiting approval.

Tracxn credit log (connector, 04-Nov-2026):

#	Tool	Purpose	Credits after	Cost
1	search_ipo_events	IPO listing events by exchange, India 2018-2026	726	unknown (first call)
2	search_ipo_events	IPO listing events by year x exchange	725	1
3	search_legal_entities	Size candidate screen (EBITDA >= 1 cr, compliant, inc. <= 2022) bucketed by EBITDA	714	11

Network domains to allow for primary-source verification: www.nseindia.com, nsearchives.nseindia.com, www.bseindia.com, api.bseindia.com, www.sebi.gov.in, www.chittorgarh.com, chittorgarh.com, ipocentral.in, en.wikipedia.org, msme.gov.in, udyamregistration.gov.in, www.mca.gov.in, www.screener.in.

8. Limitations

Regulatory rules from secondary sources; BSE SME net-tangible-asset threshold conflicting (Rs 1.5 cr vs Rs 3 cr); BSE track-record rule unconfirmed; ICDR notification date differs across sources (3, 4 or 8 March 2025). Tracxn private-company financial coverage is incomplete and favours entities with MCA filings. MSME status cannot be inferred from turnover alone.

9. Sources

ID	Title	Publisher	Status
S01	NSE Emerge eligibility criteria (official page)	National Stock Exchange of India	Not fetched (domain blocked); content known only via search summary
S02	NSE circular CML65739 (SME eligibility conditions)	National Stock Exchange of India	Not fetched (domain blocked)
S03	MSME classification notification S.O. 2119(E), 26 June 2020	Ministry of MSME, Government of India	Referenced by secondary sources; primary not fetched
S04	Revised MSME classification limits (S.O. 1364(E), 21 March 2025) - summary	Taxmann	Search summary only
S05	Govt notifies revised criteria for classifying MSMEs	All India Radio News (newsonair.gov.in)	Search summary only
S06	NSE imposes new eligibility conditions for SME IPOs day after Sebi nod	Business Standard	Search summary only
S07	Client Alert: SEBI ICDR Amendments (March 2025)	Cyril Amarchand Mangaldas	Search summary only
S08	SEBI ICDR amendments - a strategic step to streamline regulatory landscape	KPMG India	Search summary only
S09	SEBI (ICDR) Regulations 2018, Chapter IX (SME issues)	Securities and Exchange Board of India	Not fetched (sebi.gov.in blocked)
S10	BSE SME eligibility (secondary summaries: Upstox, Taxguru, Corporate Professionals)	Various	Search summary only; sources conflict on NTA figure

ID	Title	Publisher	Status
S11	SME IPOs by year, number and funds raised	Chittorgarh.com	Search summary only; site's own pages mark some years partial
S12	RBI Bulletin article on SME IPO market	Reserve Bank of India	Search summary only
S13	Tracxn MCP connector - IPO Transactions aggregation (India, 2018-2026)	Tracxn Technologies	Retrieved; raw response preserved read-only
S14	MSME state-wise Udyam registrations (Parliament replies; IBEF Aug-2025 infographic)	Sansad digital library; IBEF	Search summary only; shares, not counts